COMMITTEE ON FINANCE
SENATE AMENDMENTS TO H.B. 2091
(Reference to House engrossed bill)

Amendment instruction key:
[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.
[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

The bill as proposed to be amended is reprinted as follows:

Section 1. Section 20-156, Arizona Revised Statutes, is amended to read:

20-156. Examination of insurers; financial surveillance fund; definition

A. The director shall examine the affairs, transactions, accounts, records and assets of each authorized insurer as often as the director deems advisable. The director shall so examine each domestic insurer at least once every five years. Examination of an alien insurer shall be limited to its insurance transactions in the United States. The director may examine the business transactions and affairs of each domestic life and disability reinsurer as defined in section 20-1082, service company as defined in section 20-1095 and mechanical reimbursement reinsurer as defined in section 20-1096.

B. The director shall in like manner examine each insurer applying for an initial certificate of authority to do business in this state.

C. In lieu of making an examination, the director may accept a full report of the last recent examination of a foreign or alien insurer, certified to by the insurance supervisory official of another state, territory, commonwealth or district of the United States.

D. The expenses of the examinations conducted under this section shall be paid by the insurance examiners' revolving fund as provided in section 20-159. Such expenses shall be limited to preexamination selection and preparation costs, examination costs, postexamination costs and other such costs of evaluations of compliance required by law.

E. The financial surveillance fund is established consisting of monies collected pursuant to subsection F of this section. The fund is a special state fund pursuant to section 35-142, subsection A, paragraph 8. The department shall administer the fund. Monies in the fund are continuously appropriated and are exempt from the provisions of section 35-190 relating to lapsing of appropriations.

F. The director shall annually assess and collect from each domestic insurer, other than a domestic life and disability reinsurer as defined in section 20-1082, a service company as defined in section 20-1095, and a mechanical reimbursement reinsurer as defined in section 20-1096, an amount within the ranges provided in this subsection and on a uniform percentage basis among all fee categories, to pay the costs of employing financial analysts who shall assist the department in conducting financial surveillance of domestic insurers. The director shall deposit all collected monies in the financial surveillance fund. The director shall base the amount of each insurer's assessment on the total admitted assets of the insurer as shown in its annual statement for the calendar year preceding the year in which the assessment is made, according to the following schedule:

	Minimum Assessment Amount	Maximum Assessment Amount
Insurers with total admitted assets of greater than $1,000,000,000	$15,000	~~$22,500~~ $39,375
Insurers with total admitted assets of at least $200,000,000 but not more than $1,000,000,000	$ 5,000	~~$ 7,500~~ $13,125
Insurers with total admitted assets of at least $100,000,000 but not more than $199,999,999	$ 3,000	~~$ 4,500~~ $7,875
Insurers with total admitted assets of at least $50,000,000 but not more than $99,999,999	$ 1,500	~~$ 2,250~~ $3,940
Insurers with total admitted assets of at least $25,000,000 but not more than $49,999,999	$ 500	~~$ 750~~ $1,315
Insurers with total admitted assets of not more than $24,999,999	$ 250	~~$ 375~~ $655

[~~G. BEGINNING FROM AND AFTER JUNE 30, 2027 AND EACH FISCAL YEAR THEREAFTER, THE DIRECTOR SHALL ADJUST THE MAXIMUM ASSESSMENT AMOUNTS FOR EACH RANGE OF TOTAL ADMITTED ASSETS PRESCRIBED IN SUBSECTION F OF THIS SECTION BY THE LESSER OF TWO AND ONE HALF PERCENT OR THE AVERAGE ANNUAL CHANGE IN THE METROPOLITAN PHOENIX CONSUMER PRICE INDEX PUBLISHED BY THE UNITED STATES DEPARTMENT OF LABOR, BUREAU OF LABOR STATISTICS, EXCEPT THAT THE MAXIMUM ASSESSMENT AMOUNTS MAY NOT BE REVISED BELOW THE AMOUNTS PRESCRIBED IN THE PRIOR FISCAL YEAR. THE REVISED MAXIMUM ASSESSMENT AMOUNTS SHALL BE RAISED TO THE NEAREST WHOLE DOLLAR.~~]

[G.] [~~H.~~] For the purposes of this section, "insurer" includes health care services organizations, prepaid dental plan organizations, hospital service corporations, medical service corporations, dental service corporations and hospital, medical, dental and optometric service corporations incorporated in this state.

Sec. 2. <u>Retroactivity</u>

This act applies retroactively to from and after December 31, 2025.

Sec. 3. <u>Requirements for enactment; two-thirds vote</u>

Pursuant to article IX, section 22, Constitution of Arizona, this act is effective only on the affirmative vote of at least two-thirds of the members of each house of the legislature and is effective immediately on the signature of the governor or, if the governor vetoes this act, on the subsequent affirmative vote of at least three-fourths of the members of each house of the legislature.

Enroll and engross to conform

Amend title to conform

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